



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTING

PAPER 1 Multiple Choice

4051/1

1 hour 30 minutes

NOVEMBER 2025 SESSION

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

Calculator (Optional)

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces on the answer sheet provided.

Read very carefully the instructions on the answer sheet.

Answer **all** questions. For each question, there are four possible answers, **A, B, C** and **D**. Choose the correct answer. Record your choice in **soft pencil** on the separate answer sheet provided.

INFORMATION FOR CANDIDATES

There are **forty** questions in this paper. Each correct answer will score **one** mark. Any rough working should be done on this question paper.



This question paper consists of 11 printed pages.

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- 1 Which document matches the correct subsidiary book?

	Document	Subsidiary book
A	Credit note	Purchases journal
B	Invoice	Petty cash book
C	Receipt	Cash book
D	Voucher	General journal

- 2 Which of the following set of businesses provide services to its customers?

- A bee keeping and poultry production
- B hair saloon and car wash
- C poultry production and car wash
- D tuckshop and hair saloon

- 3 Which document is prepared monthly that summarises the transactions between the buyer and the seller?

- A bank statement
- B receipt
- C statement of account
- D voucher

- 4 A business withdraws cash from the bank for office use.
Double entry is completed by

	Debiting	Crediting
A	bank	cash.
B	cash	bank.
C	drawings	bank
D	drawings	cash.

- 5 A cash discount is

- A an allowance for bulk buying.
- B an allowance for prompt payment.
- C given to traders only.
- D not entered in the books of accounts.

- 6 The following are uses of a trial balance **except**

- A correction of errors.
- B identification of errors.
- C facilitation of preparation of final accounts.
- D provision of total figures of debtors and creditors.



- 7 A company depreciates its plant and machinery at 5% every year using the straight line method.
This is an application of
- A consistency concept.
 - B prudence concept.
 - C historical cost concept.
 - D going concern concept.
- 8 Which transaction increases working capital?
- A bought inventory on credit
 - B cash received from sale of office equipment
 - C payment of trade payables by cheque
 - D received cheques from trade receivables
- 9 Which of the following is a physical cause of depreciation?
- A depletion
 - B inadequacy
 - C obsolescence
 - D wear and tear
- 10 Which of the following expenditure affects net profit?
- A carriage costs of office equipment
 - B costs of repainting office buildings
 - C installation costs of a plant
 - D purchase of a delivery van
- 11 Which of the following items are found in a trade receivables control account?
- A returns inwards, payment to suppliers and discount allowed
 - B returns inwards, set off and discount allowed
 - C returns outwards, bad debts and discount allowed
 - D returns outwards, set off and discount allowed
- 12 Which of the following items is found in the cash book and **not** in the bank statement?
- A bank charges
 - B credit transfer
 - C standing order
 - D uncredited deposits



- 13 Which of the following is a profitability ratio?
- A current ratio
 - B mark up
 - C quick ratio
 - D rate of inventory turnover
- 14 Which of the following statements is used in the calculation of opening capital?
- A bank reconciliation statement
 - B bank statement
 - C income statement
 - D statement of affairs
- 15 Which item is shown on the credit side of a receipts and payments account?
- A donations received
 - B purchase of refreshments
 - C sale of refreshments
 - D subscriptions
- 16 Which of the following is recorded as current liabilities in the statement of financial position?
- A general expenses prepaid
 - B loan interest
 - C subscriptions in arrears
 - D subscriptions paid in advance
- 17 Total cost of production is
- A cost of raw materials used - direct costs - indirect costs.
 - B cost of raw materials used - direct costs + indirect costs.
 - C cost of raw materials used + direct costs - indirect costs.
 - D costs of raw materials used + direct costs + indirect costs.
- 18 The following items are part of cost of raw materials consumed **except**
- A carriage on raw materials.
 - B closing inventory of raw materials.
 - C opening inventory of raw materials.
 - D purchase of raw materials.
- 19 An indirect cost for a school uniforms manufacturing company is
- A carriage on uniform materials.
 - B cost of hiring an overlocking machine.
 - C depreciation on sewing machines.
 - D wages paid to tailors.



- 20 In a partnership business share of losses are
- A credited in the appropriation account.
 - B credited in the current account.
 - C debited in the current account.
 - D debited in the appropriation account.
- 21 Ordinary shareholders
- A are paid dividends after preference shareholders.
 - B are paid dividends before preference shareholders.
 - C earn a fixed rate of dividend.
 - D do not have voting rights.
- 22 Which business ethic requires an accounts clerk not to be biased when making professional decisions?
- A competence
 - B confidentiality
 - C integrity
 - D objectivity
23. The following is part of an accounting cycle.

Purchased office equipment from B. Ndlovu → Invoice → X → Ledger

The item marked X represents

- A cash book.
- B general journal.
- C purchases journal.
- D sales journal.



- 24 The following appeared in the ledger of a trader:

Dr			Capital Account		Cr	
2020			\$	2020	\$	
Dec 31 Balance	c/d	130 000		Jan 1 Balance	b/d	68 000
				Oct 10 Motor vehicles		40 600
				Dec 31 Net profit		<u>21 400</u>
		<u>130 000</u>				<u>130 000</u>

The entry on 10 October 2020 shows motor vehicles

- A bought by the business for the owner.
 B brought into the business by the owner.
 C sold by the business to the owner.
 D taken from the business by the owner for private use.
- 25 The following cash book appeared in the books of a sole trader:

Dr		Tendai's Cash Book				Cr
		Cash	Bank		Cash	Bank
2020		\$	\$	2020	\$	\$
April 1 Balance	b/d	1 500	1 700	April 4 Purchases		1 500
7 Sales		1 200		8 Bank	500	
8 Cash			500			

The entries on 8 April 2020 represent

- A cash deposited into the bank from the cash till.
 B cash deposited into the bank from private funds.
 C cash withdrawn from the bank for office use.
 D cash withdrawn from the bank for private use.
- 26 A credit sale of \$2 500 was not recorded in the debtor's account.

This error is corrected by

	debiting	crediting
A	debtor's account	suspense account.
B	sales account	suspense account.
C	suspense account	debtor's account.
D	suspense account	sales account.



- 27 A cash payment of \$2 000 for rent was debited to the cash book and credited to the rent paid account.

This is an example of an error of

- A commission.
- B complete reversal of entries.
- C original entry.
- D principle.

- *28 Closing entry for carriage on sales is recorded as

debit	credit
A carriage on sales account	profit and loss account.
B carriage on sales account	trading account.
C profit and loss account	carriage on sales account.
D trading account	carriage on sales account.

- 29 A trader provided the following information:

	\$
Balance as per bank statement	15 000 Cr
Unpresented cheques	1 680
Deposits not yet credited	2 120

What was the balance as per cash book?

- A \$14 560 Cr
- B \$14 560 Dr
- C \$15 440 Cr
- D \$15 440 Dr

- 30 The following transactions appeared in the books of a trader:

	\$
2020	
Jan 1 Cash at bank	2 560
2 Paid rent by cheque	260
8 Received a cheque from a debtor	750
10 Withdrew cash from bank for private use	150

Dr	Cr
Cash 750	2 560
Bank	150
22 20	2 410

On 31 January 2020 the balance at bank was

- A \$2 220 Cr.
- B \$2 220 Dr.
- C \$2 900 Cr.
- D \$2 900 Dr.



- 31 A trader's gross profit on 31 December 2020 was \$17 400.

The following errors were discovered:

- (i) Sales were overcast by \$3 000. *ouco*
- (ii) Customs duty of \$1 200 was not recorded in the books.

$$\begin{array}{r} \text{Dr} \\ \text{gross} \quad 17400 \\ - 3000 \\ + 1200 \end{array}$$

The corrected gross profit was

- A \$13 200.
B \$15 600.
C \$19 200.
D \$21 600.
- 32 The capital structure of a company is given below:

Authorised share capital

500 000 Ordinary shares of \$1, 50 each

\$
750 000 *10/100 50 000*

Issued share capital

300 000 Ordinary shares of \$1,50 each

450 000

$$\begin{array}{r} + \frac{10}{100} 450\,000 \\ 75000 + 45000 \end{array}$$

The directors declared and paid an ordinary dividend of 10 cents per share.

The dividend paid was

- A \$30 000.
B \$45 000.
C \$50 000.
D \$75 000.
- 33 On 1 January 2020, a limited company had a balance of \$70 000 in the general reserves account.
The directors agreed to transfer \$50 000 to the general reserves account on 31 December 2020.

What was the amount of general reserves in the statement of financial position?

- A \$20 000
B \$50 000
C \$70 000
D \$120 000



- 34 A trader presented the following information:

	\$
Gross profit	20 000
Increase in provision for bad debts	5 000 ✓
Commission received	2 000 ✓
Discount allowed	1 000

Net profit was

- A \$12 000.
B \$16 000.
C \$26 000.
D \$28 000.

27000

Handwritten calculation for Net Profit:

Sales	
less sales returns	
turn over	
cost of sales	
add opening inventory	
purchase	
less closing inventory	
less returns outwards	
gross profit	
add other income	

- 35 The following balances were extracted from the books of a trader:

	\$
Closing inventory	30 000
Trade receivables	58 000
Trade payables	26 000
Advertising due	4 000
Rent receivable owing	2 000

The quick ratio was

- A 2:1.
B 2.4 :1.
C 26 :1.
D 3 :1.



- 36 The following information was provided by a trader:

	\$
2020	
Jan 1 Subscriptions in arrears	300
Subscriptions in advance	800
Dec 31 Subscriptions received	6 100
Subscriptions in arrears	500
Subscriptions in advance	400

Sub	Income	Sub	Income
300	6 500	300	6 100
800	500	800	400
	800		7 300

Subscriptions transferred to the income and expenditure account were

- A \$5 700.
 B \$6 100.
 C \$6 500.
 D \$6 700.
- 37 The following information was provided by a trader:

2020 January 1 Office furniture at cost \$50 000

During the year office furniture bought in 2018 for \$20 000 was sold for \$5 000 cash. The trader depreciates office furniture at 10% per annum on cost. A full year's depreciation is provided for in the year of purchase and none in the year of sale.

The provision for depreciation on disposal was

- A \$3 000.
 B \$4 000.
 C \$6 000.
 D \$10 000.

ASSETS ACCOUNT	
Bal b/d 50 000	Disposal 5 000
- 20 000	
10% x 30 000	
3 000	
30 000	



- 38 The following balance was extracted from the trade receivables ledger:

2020

Jan 1 M. Soko

\$16 500 Dr

During the month the following transactions were recorded:

2020

Jan 5 M. Soko paid \$7 000 by cheque

18 Credit sales to M. Soko \$20 000 less 10% trade discount

The amount owed by M. Soko on 31 January 2020 was

- A \$3 500.
- B \$5 500.
- C \$27 500. ✓
- D \$29 500.

- 39 In a partnership business, a partner was entitled to an annual salary of \$46 000. During the year \$40 000 was paid.

The amount credited to the current account at year end was

- A \$6 000.
- B \$40 000.
- C \$46 000.
- D \$86 000.

- 40 The following transactions were extracted from the books of a trader:

2020	\$
April 1 Sold goods for cash to Samson	8 000
3 Sold goods on credit to Tendai	10 600
4 Sold office equipment on credit to Qiniso	3 500
6 Sold inventory on credit to Chaita	15 460

The total in the sales journal amounted to

- A \$26 060.
- B \$29 560.
- C \$34 060.
- D \$37 560.

Handwritten calculations:
 $20\ 000 - 2\ 000$
 $16\ 500 - 7\ 000$
 $9\ 500 + 18\ 000$
 20

